

Globalization

Economic integration

Trade creation and Trade diversion

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Globalisation

It refers to the increase of trade around the world, especially by large companies producing and trading products in many different countries. It involves an increase in international competition through the development of a global free market with companies able to gain a competitive advantage. It refers to the free movement of goods, services and people across the world and involves a process that enables financial and investment markets to operate internationally.

Causes: Globalisation describes an economic interdependence of countries around the world fostered through the development of trade liberalisation and free trade. The reduction of protectionism, involving the removal or reduction of tariffs and other import controls, has been a significant cause of globalisation. It is also the result of deregulation and improvements in communication technology.

Consequences: Globalisation has led to the increased spread of products, technology, information and employment across national borders. It has created new jobs and enhanced economic growth through the international flow of goods, capital and labour. Companies have been able to reduce costs by manufacturing abroad and have been able to gain access to millions of new customers. Significant improvements in standard of living have been achieved in many countries, with free markets and

free trade a means of reducing the extent of poverty in the world.

However, this job creation and economic growth have not been distributed evenly across industries or countries. Specific industries in certain countries have suffered disruption or collapse as a result of increased competition. Globalization has benefited large multinational companies, but its impact remains mixed for particular workers and firms around the world, in both developed and developing countries. It can also have a significant effect on the environment. It can create a domino effect where a crisis or economic downturn in one country can have a severe impact on many other countries in the world.

Economic integration

Free trade areas: A free trade area is where countries come together to trade freely with each other, but each of these member countries will retain their own trade barriers with other countries outside the free trade area, that is there is no common external tariff in existence

E.g. includes:

- * The European Free trade Area (Iceland, Liechtenstein, Norway and Switzerland)
- * The North American Free trade Area (USA, Canada and Mexico).

Custom union: It is where countries come together to trade freely with each other and they also have a common external tariff with other countries outside the custom union.

E.g. include:

* The Caribbean Community (CARICOM) (15 full member countries including Jamaica, Barbados and Trinidad and Tobago)

Monetary union: It is where countries come together and adopt a single currency. Certain policies may also be adopted to support the operation of the currency and there is usually one single central Bank.

E.g. include:

The eurozone (19 member countries of the European Union have adopted Euro as their currency, including France, Italy and Germany).

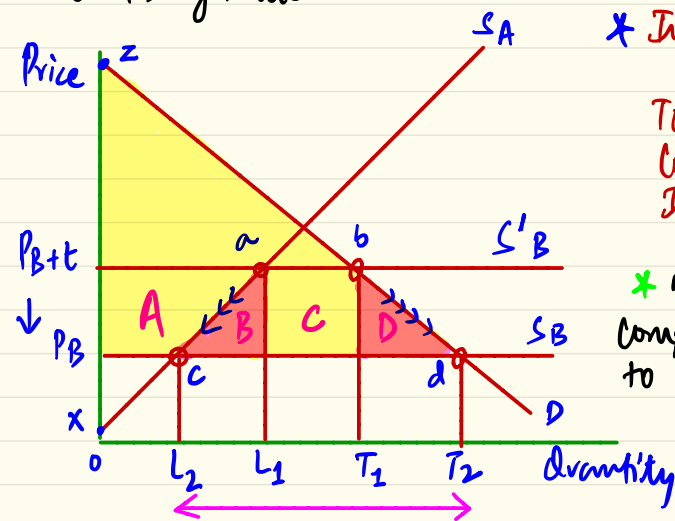
Full economic union: It is where countries come together and adopt a number of common economic policies that apply to all member countries. Full economic union usually involve the countries adopting a single currency, but this is not absolutely essential.

E.g. include:

* The European Union (19 of the 27 member countries have adopted single currency)
* The Eurasian Economic Union (Russia, Belarus, Armenia and Kazakhstan, but each of the four countries have retained their own currency).

Trade creation and trade diversion

Membership of a trade bloc may result in **trade creation**. Trade creation occurs when the removal of tariffs allows members to specialise in those products in which they have a comparative advantage. More expensive domestic products can be replaced by imports from another member country that are lower in price. The efficient firms within the trade bloc will be able to sell to a larger market and this may enable them to lower prices even further because they will be able to take greater advantage of economies of scale.



* Net gain of society: $B+D$

* Initially no integration

Price: $P_B + t$

Total consumption: OT_1

Local output: OL_1

Imports: $T_1 - L_1$

* Movement from
Comparative disadvantage
to advantage

* Rise in C.S = $A+B+C+D$

* Fall in P.S = A

* Fall in Government revenue = C

* A and B form a bloc
Tariff is abolished

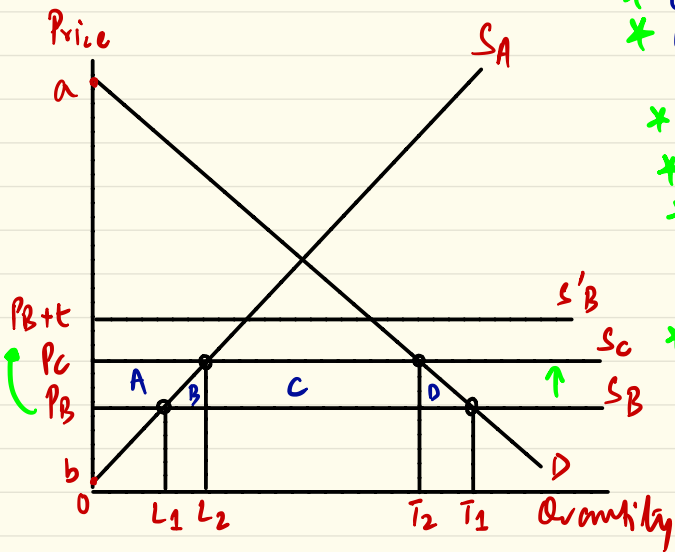
After integration
Price: P_B

Total consumption: T_2

Local output: L_2

Imports: $T_2 - L_2$

Trade diversion occurs when membership of trade bloc results in a country buying imports from a less efficient country within the trade bloc rather than from a more efficient country outside the trade bloc. Trade diversion results in a less efficient allocation of resources. Efficient countries outside the trade bloc may lose as they are not now able to trade on equal terms. A country joining the trade bloc may also lose.



- * Country 'B' has comparative advantage
- * Country 'A' should purchase from B.

- * 'A' and 'C' form a trade Bloc
- * No trade barriers between A and C
- * External Tariff on B

- * After trade bloc
- * 'A' trades with 'C' rather than 'B'

- * Price increase from P_B to P_C

- * Fall in C.S : $A + B + C + D$
- * Rise in P.S : A

* Net loss of society = $B + C + D$

Questions

- Q1 Define globalisation ? 4
- Q2 Explain causes of globalisation ? 4
- Q3 Explain consequences of globalization ? 8
- Q4 Explain free trade areas, custom union, monetary union, and full economic union ? 12
- Q5 Using a diagram, explain trade creation ? 10
- Q6 using a diagram, explain trade diversion ? 10